No. 129471

IN THE SUPREME COURT OF ILLINOIS

ARLINGTON HEIGHTS POLICE; PENSION FUND, et al.,	)	On Petition for Leave to Appeal from the Appellate Court of Illinois Second District, No. 2-22-0198
Plaintiffs-Petitioners,	)	There Heard on Appeal from the Circuit Court of Kane County, Illinois, Case No. 2021 CH 55 Honorable Robert K. Villa Judge Presiding
v.	)	
JAY ROBERT "J.B." PRITZKER, et al.	)	
Defendants-Respondents.	)	

PETITION FOR LEAVE TO APPEAL

TO THE ILLINOIS SUPREME COURT

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PRAYER FOR LEAVE TO APPEAL

Pursuant to Illinois Supreme Court Rule 315, Plaintiffs-Petitioners, comprised of approximately eighteen (18) suburban and downstate police and firefighter pension funds as well as individual representatives from each fund, respectfully request leave to appeal from the February 7, 2023 decision of the Illinois Appellate Court, Second District, affirming the circuit court's order and finding that Public Act 101-0610 does not violate the Pension Protection Clause or the Takings Clause of the Illinois Constitution.

STATEMENT OF DATES OF JUDGMENT AND REHEARING

On May 25, 2022, the trial court entered a written Order granting Defendants' Motion for Summary Judgment and denying Plaintiffs' Cross-Motion for Summary Judgment. (C609-623). On June 1, 2022, Plaintiffs timely filed their Notice of Appeal. (C626).

The Second District did not hear oral argument. On February 7, 2023, the Second District issued its Opinion affirming the circuit court's decision to grant summary judgment and finding that Public Act 101-0610 does not violate the Pension Protection Clause or the Takings Clause of the Illinois Constitution. (A1-11).

Pursuant to Illinois Supreme Court Rule 315, the filing of this Petition for Leave to Appeal is timely.

STATEMENT OF POINTS RELIED UPON IN SEEKING SUPREME COURT REVIEW

1. The Second District erred in finding that voting for pension board members is not a "benefit" subject to the Pension Protection Clause.

2. The Second District erred in finding that requiring Plaintiffs to pay for the consolidated funds' startup costs, administration, operation, and transition costs does not "impair or diminish" their funds.

3. The Second District erred in finding that Plaintiffs "do not own the funds that the Act requires to be transferred," such that the Takings Clause is not implicated.

STATUTES INVOLVED

Public Act 101-610. (See Appendix – A-0012 – A-0060).

40 ILCS 5/1 – Illinois Pension Code (See Appendix – A-0061 – A-0066).

40 ILCS 5/3 – Police Pension Fund – Municipalities 500,000 and Under (See Appendix – A-0067 – A-0084).

40 ILCS 5/4 – Firefighters Pension Fund – Municipalities 500,000 and Under (See Appendix – A-0085 – A-0095).

Pension Protection Clause. ILCS Const. Art. 13, §5.

"Membership in any pension or retirement system of the State, any unit of local government or school district, or any agency or instrumentality thereof, shall be an enforceable contractual relationship, the benefits of which shall not be diminished or impaired."

Takings Clause. ILCS Const. Art. 1, §15.

"Private property shall not be taken or damaged for public use without just compensation as provided by law. Such compensation shall be determined by a jury as provided by law."

STATEMENT OF FACTS

Public Act 101-0610 ("the Act") eliminated Illinois' locally-controlled suburban and downstate police and firefighter pension funds' authority over their investments and transferred that authority to two consolidated statewide funds – one for police and one for firefighters. (C610).

I. Statutory Background

A. Pre-Act – Police and Firefighter Pension Funds Locally Controlled

Prior to the Act, the local police and fire pension funds' assets were solely comprised of amounts derived from local taxes, police officer and firefighter contributions, and such other funds, real property, and personal property as were received by the local boards. See 40 ILCS 5/3-125 (2015) and 40 ILCS 5/4-118 (2019). The board of trustees for each of those funds was charged with the fiduciary duty to "control and manage" those assets, including the exclusive control and management of "investment expenditures and income, including interest dividend, capital gains, and other distributions of the investments. 40 ILCS 5/3-132 (1997), 40 ILCS 5/4-123 (1997). Indeed, the boards of trustees of Article 3 and 4 local pension funds were statutorily obligated to invest their assets "with the care, skill, prudence, and diligence that a prudent person …would use." 40 ILCS 5/1-113.1. In connection with that duty, the board of trustees of the local pension funds could, and under certain circumstances were required to, appoint investment advisors who would likewise serve as a fiduciary to the pension fund. 40 ILCS 5/1-113.5. Smaller funds were limited in the types of investment that could be made, with more and more investment options permitted as funds had correspondingly increasing levels of assets under management. See 40 ILCS 5/1-113.1 – 40 ILCS 5/1-113.4.

The board of trustees of a local pension fund responsible for investing the fund's assets (and/or selecting and appointing the investment advisor) was to be selected by, and only by, those within the applicable local municipality. More specifically, pursuant to the statute, the board of trustees for local police funds consisted of five members, where two members were selected by the mayor/president of the municipality, two were to be selected by the active police officers participating in the local fund, and the fifth member

was to be selected by the beneficiaries of that local fund. 40 ILCS 5/3-128. The board of trustees for local fire funds also consisted of five members, where two members were selected by the mayor/president of the municipality, two were to be selected by the active firefighters participating in the local fund, and the fifth member was to be selected by the retired firefighters in the local fund. 40 ILCS 5/4-121 (also noting that "retired" firefighters included firefighters "receiving a disability pension"). In other words, no one from outside the municipality or its local police or fire department had any say in who would be a member of the board of trustees for that municipality's local police or fire fund, and in turn, no one from outside the municipality had any say in who would be responsible for the management of the fund's assets.

The local police and firefighter pension funds' assets could not be used "to pay the costs and expenses incurred in the operation and administration of" any other fund. See, e.g., 40 ILCS 5/22B-118 and 40 ILCS 5/22C-118. Likewise, the local funds were not responsible for any costs to transition their funds to any other entity. See, e.g., 40 ILCS 5/22B-120(h) and 40 ILCS 5/22C-120(h).

B. The Governor's Task Force and its Report

On October 10, 2019, the Governor's Pension Consolidation Feasibility Task Force issued its report. (C125-146). In that report, the Pension Consolidation Feasibility Task Force stated that the large number of small suburban and downstate local police and fire pension funds were "unable to gain access to investment opportunities that provide the highest returns and competitive investment fees." (C104; C127). (As noted above, the investment opportunities available to smaller local funds were circumscribed by statute.) However, the Task Force's report did not indicate whether it considered the effect of removing those statutory limitations on the smaller funds. (C125-146). Additionally, the

Task Force acknowledged that Illinois had fifteen (15) other pension systems outside of the suburban and downstate police and fire funds that presented "significant financial burdens" despite being "larger funds." (C128).

Indeed, despite noting that the suburban and downstate funds faced systematic disparities because of their limited sizes and statutory constraints, the Task Force conceded that these suburban and downstate pension funds were 55% funded on average, whereas the much larger Chicago and Cook County plans were only 42.4% funded on average. (C133; C135). Moreover, the Task Force found that other statewide plans averaged only a 48.75% funding level - despite those funds being unencumbered by the "the systematic limitations" claimed to be depressing the performance of the suburban and downstate police and fire funds. (C136). The Task Force concluded: "When IMRF is excluded, the statewide systems averaged a 39.18% funded ratio in FY 2016, which is below the average of all Illinois pension plans. This makes Illinois one of the most underfunded for state pension systems in the country." (C136).

In its Report, the Task Force analyzed investment returns for Chicago/Cook County and statewide plans from 2012 to 2016 and compared it with the investment returns for the suburban and downstate funds from 2004 to 2013. (C132; C136). This analysis therefore **omitted the losses** experienced by the Chicago/Cook County and statewide plans due to the 2007-2009 Great Recession following the burst of the U.S. housing bubble and subsequent global financial crisis. Likewise, this analysis **omitted the gains** made by the suburban and downstate funds during 2013-2016 period of economic growth, where real GDP grew over 2%, the unemployment rate fell 2.5%, and median family income grew over 10 percent. (C132; C136). Even so, under this analysis, the Task Force conceded that the five state-funded plans' 6.18% investment return during

this time period was only "slightly" better than the average of -all state and local funds. (C136).

Importantly, the Task Force's report did not contain any analysis regarding the cost of consolidation, the manner by which that cost would be funded, and the expense associated with effectively creating two "mutual funds" with paid staff, executives, and "other vendors, such as custodians . . . consultants, landlords and bonding companies," much less the cost of borrowing up to $15 million to effectuate the consolidation. (C125-146). Instead, the Task Force merely compared the 2013 investment expenses of the suburban and downstate local funds to the 2018 investment expenses of IMRF and the Illinois State Board of Investment.

Last, the Task Force's Report did not discuss the impact on the individuals regarding the loss of control over their investment assets and the ability to elect board members and hire financial advisors; instead, it merely concluded that "Each fund would be governed by a board with equal representation of employees and employers…Each of the two consolidated funds will be held in independent trusts, separate from the State Treasury, with sole governance provided by their respective boards." (C127-128).

C. The Act

The State of Illinois subsequently passed Public Act 101-0610, which adopted the Task Force's recommendations, eliminated the suburban and downstate police and firefighter pension funds, and put in place a plan for the consolidation of those funds into a statewide fund. The Act created the two "Pension Investment Funds," and authorizes them to borrow up to $15 million from the Illinois Finance Authority "to fund the transition process." 40 ILCS 5/22B-120(h) and 40 ILCS 5/22C-120(h). Notably, the Act provides that the Pension Investment Funds "shall apply moneys derived from the [local]

pension fund[s'] assets…to pay the costs and expenses incurred in the operation and administration of the [Pension Investment] Fund[s]." 40 ILCS 5/22B-118(e), 40 ILCS 5/22C-118(e).

The Act does not provide for an equalized or proportionate level of representation. While the Act provides that all suburban and downstate officers' and firefighters' retirement assets are to be theoretically maintained in the form of a separate "account" that will rise and fall pro rata to all other assets under consolidation (see 40 ILCS 5/22B-118(c), 40 ILCS 5/22C-118(c)), no similar theoretical pro rata allocation could be maintained with regard to every police officer's and firefighter's vote for the boards of the Pension Investment Funds. Differently stated, local funds contributing more to the consolidated fund as whole are not given greater representation among the boards of the Pension Investment Funds. See 40 ILCS 5/22B-115(b), 40 ILCS 5/22C-115(b).

Finally, the Act significantly changed the manner in which individual police officers and firefighters select the individuals responsible for managing their pension funds. Prior to the Act, local police and firefighters would vote locally for the people who would be responsible for managing their local fund's retirement assets. See 40 ILCS 5/22B-115(b), 40 ILCS 5/22C-115(b). Following the passage of the Act, boards for the Pension Investment Funds are to be selected statewide by all voting-eligible members, who may vote on only 3 of the 9 total members. Id. As a result, the Act substantially impacted and diluted each police officer's and firefighter's voting rights and ability to determine how their personal retirement assets are invested.

II. The Lawsuit

On February 23, 2021, Plaintiffs, comprised of approximately eighteen (18) police and firefighter pension funds as well as individual representatives from each fund, filed a

Complaint for Declaratory, Injunctive and Other Relief seeking a finding that Public Act 101-0610 impermissibly diminished the State's contractual obligations and impaired and diminished Plaintiffs' voting powers and ability to control their assets in violation of the Pension Protection Clause and/or the Takings Clause of the Illinois Constitution. (C73-94). Defendants filed a Motion to Dismiss, arguing that there was no violation of the Illinois Constitution as a matter of law. (C149-150; C151-156; C157-160). Plaintiffs filed a Response and a Counter-Motion for Summary Judgment, arguing that prior to the Act, Plaintiffs had exclusively local control over the investment decisions being made with respect to their pension assets and further that Plaintiffs' pension funds were not encumbered by up to $15,000,000 in loans, plus interest. (C260-304). Following a briefing and ruling on the Motion to Dismiss portions of the argument, Defendants filed an amended Memorandum in Opposition to Plaintiffs' Motion for Summary Judgment and in Support of Defendants' Cross-Motion for Summary Judgment. (C444-498). Plaintiffs filed their Combined Reply and Response, and Defendants filed their Reply. (C508-556; C559-572). The trial court heard oral argument on the cross-motions for summary judgment on November 11, 2021. (R1-103).

On May 25, 2022, the trial court entered a written Order denying Plaintiffs' Motion for Summary Judgment and granting Defendants' Motion for Summary Judgment. (C609-623). Specifically, the trial court found that while the Act "significantly impacts Plaintiffs' voting rights," those same voting rights are "not presently a 'benefit' under the Pension Clause." (C612; C616). The trial court further held that the only benefit protected under the Pension Protection Clause is the **value** of the pension benefit itself. (C618-619). The trial court also held that the Takings Clause was not implicated because Plaintiffs' claim could not be tied to real property. (C622).

The trial court also entered an Order staying the enforcement of Public Act 101-0610 pending the Appellate Court's review of its decision.

III. The Appeal and the Second District's Opinion

On June 1, 2022, Plaintiffs timely filed their Notice of Appeal, and the Second District entered an Order accelerating the appeal. (C626). The Appellate Court did not hear oral argument.

On February 7, 2023, the Second District issued an Opinion affirming the circuit court's judgment and finding that Public Act 101-610 did not violate the Pension Protection Clause or the Takings Clause of the Illinois Constitution. (A1-11, *Arlington Heights Police Pension Fund v. Pritzker*, 2023 IL App (2d) 220198). Specifically, the Second District Appellate Court held that voting for board members who control and invest local pension funds is not a "benefit" for purposes of the Pension Protection Clause. See *Arlington Heights Police Pension Fund v. Pritzker*, 2023 IL App (2d) 220198, ¶14 ("We determine that the ability to vote in the election of local pension board members and to have that local board control and invest local pension funds is not of the same nature and essentiality as the ability to participate in the fund, accumulate credited time, or receive health care, disability, and life insurance coverage. Voting for the local board is, at best, ancillary to a participant's receipt of the pension payment and other assets.") The Second District Appellate Court further stated: "Voting for the board members who deal with the funding of the pension fund is no more than a procedure that may have some impact on the funding; it is not a direct impact on the payment of benefits. Where the methods of funding a retirement system are not governed by the pension protection clause, we cannot say that the right to choose who invests the funds of the system is more of a protected benefit."

Additionally, the Second District Appellate Court held that requiring the local funds to bear the transition and startup costs of the new consolidated funds did not violate the Pension Protection Clause because "The local funds are already required to pay the costs of administration of the local funds, and plaintiffs do not cite any evidence to show that the costs of administration of the new funds, even including startup costs, would be any greater." See *Arlington Heights Police Pension Fund v. Pritzker*, 2023 IL App (2d) 220198, ¶15. The Second District further stated: "We further note that the level of benefit payments is not determined by the level of funding in the fund. Member and employer contribution requirements are set in the Pension Code; if more money were to be required to pay the already-established benefits, future contribution requirements could be amended. Plaintiffs present no evidence that the Act actually reduced the funding available for the payment of benefits." *Id.*

Last, the Second District held that Plaintiffs "do not have a property right in any particular assets or level of funding" such that there could be no Takings Clause violation. *Id.*, ¶19. Specifically, the Second District held: "Plaintiffs are individual active and retiree/beneficiaries of the local funds: they have no right to the investments held by the funds; rather, they are entitled only to present or future payments from the funds. No plaintiff has any right to direct the investment of the monies held by the funds or direct that they receive any different course of payments (either in amount or frequency) beyond that established by statute and the funds. Simply put, plaintiffs do not own the funds that the Act requires to be transferred to the new statewide police and firefighter pension investment funds." See *Arlington Heights Police Pension Fund v. Pritzker*, 2023 IL App (2d) 220198, ¶19.

In concluding, the Second District stated: "The Act does nothing more than require one type of government-created pension fund to transfer assets to another type of government-created pension fund. Plaintiffs' rights to receive benefit payments are not impacted by these transfers. As the 'property' at issue here is not the private property of the plaintiffs, the takings clause is neither relevant nor applicable here." *Id.*

ARGUMENT

Because the circuit court did not hold Public Act 101-610 to be invalid, this matter was not directly appealable to this Court under Rule 302(a). While Plaintiffs believed this matter (i.e., the elimination of local pension funds) presented a situation where the public interest required prompt adjudication by this Court, as set forth in Rule 302(b), the trial court's entry of an Order staying enforcement of Public Act 101-610, combined with the Appellate Court's acceleration of the appeal, arguably limited Plaintiffs' ability to seek immediate review from this Court pursuant to Rule 302(b). Nevertheless, Plaintiffs believe this Court should determine whether Public Act 101-610 is or is not constitutional.

Additionally, Plaintiffs request this Court grant their Petition for Leave to Appeal pursuant to Rule 315 because of the general importance of the questions presented (i.e., is voting a "benefit" within the meaning of the Pension Protection Clause and are pension benefits private property for purposes of the Takings Clause) and the need for this Court to exercise its supervisory authority.

Moreover, Plaintiffs request this Court grant their Petition for Leave to Appeal pursuant to Rule 315 because the Second District's decision conflicts with and creates confusion regarding the precepts and findings set forth by this Court in its prior decisions concerning the "benefits" protected. See *Carmichael v. Laborers' & Retirement Board*

Employees' Annuity & Benefit Fund of Chicago, 2018 IL 122793; *Williamson Cty Bd. Of Comm'rs v. Bd. Of Trs. of the Ill. Mun. Ret. Fund*, 2020 IL 125330; *In re Pension Reform Litigation*, 2015 IL 118585, ¶ 45; *Kanerva v. Weems*, 2014 IL 115811, ¶ 38. Likewise, the Second District's Opinion which holds that pension funds are not "private property" and are not "owned" by the individuals conflicts with several cases amongst the appellate districts.

I. The General Importance of the Questions Presented

This Court has previously recognized that questions regarding whether a public act violates the Pension Protection Clause of the Illinois Constitution is an important question affecting the public interest which merits this Court's review. See *Carmichael v. Laborers' & Retirement Board Employees' Annuity & Benefit Fund of Chicago*, 2018 IL 122793; see also *Williamson Cty Bd. Of Comm'rs v. Bd. Of Trs. of the Ill. Mun. Ret. Fund*, 2020 IL 125330.

Here, Public Act 101-610 eliminates all local firefighter and police pension funds and drastically changes (if not eliminates) the individual firefighters' and police officers' ability to vote for and select the individuals who serve on their pension boards and who manage and oversee their pension funds. The Second District's Opinion states that 1) voting is not a "benefit" protected by the pension protection clause; and 2) that pensions are not "private property" of the individuals who have an interest in them. These findings will have a significant impact on future legislation and litigation, and this Court should have the final say as to these issues.

II. The Trial Court's Order (and the Second District's Opinion) Has Created Conflict and Confusion Regarding this Court's Decision in *Williamson* and What is a "Benefit"

In *Williamson County Board of Commissioners v. Board of Trustees of the Illinois Municipal Retirement Fund*, this Court struck down a portion of Public Act 99-900 which

enacted a new section of the Pension Code and limited county board member participation in IMRF unless, by a date certain, the local county board certified that board members are expected to work a certain specified number of hours annually (either 600 or 1000). *Williamson Cty Bd. Of Comm'rs v. Bd. Of Trs. of the Ill. Mun. Ret. Fund*, 2020 IL 125330, ¶27, 52. This Court specifically stated: "Our decisions have uniformly construed its [the Pension Protection Clause] plain meaning to protect any **benefit** of the enforceable contractual relationship arising from membership in one of the pension or retirement systems of the State and any local unit of government or school district from diminishment or impairment." *Id.* (emphasis added), citing *Carmichael v. Laborers' & Retirement Board Employees' Annuity & Benefit Fund*, 2018 IL 122793, ¶ 25; *In re Pension Reform Litigation*, 2015 IL 118585, ¶ 45; *Kanerva v. Weems*, 2014 IL 115811, ¶ 38.

In its written Order in this case, the trial court quoted from the Williamson opinion and acknowledged: "The language emphasized (by this Court) in the above quote appears to suggest that the 'benefits' protected under the Pension Clause must be broader than the simple payment a member is to receive upon retirement. Firstly, the term 'benefits' is plural; which, on its face, cannot be read to mean a singular (undefined) something. The Williamson opinion seemingly makes that more clear by referring to a 'broad' protection of 'all the benefits that flow from the contractual relationship arising from membership in a public retirement system.'" (C618). The trial court concluded, however, "A careful review, however, of each case cited with approval in Williamson suggests the Illinois Supreme Court does not mean what this language suggests." (C618). The trial court then concluded that the Pension Protection Clause only applies to those public acts which "directly affect the value of a plaintiff's pension benefit." (C619).

The Second District Appellate Court addressed this Court's prior opinions as to what constitutes a "benefit," stating, "The benefits at issue in Williamson County, Buddell, and Carmichael were benefits that affected the participants' ability to continue participation (Williamson County) or their ability to increase their service credits (Buddell and Carmichael), thereby negatively affecting the calculation of their eventual benefit payments." See *Arlington Heights Police Pension Fund v. Pritzker*, 2023 IL App (2d) 220198, ¶12. The Second District thereafter concluded: "These are the types of benefits that flow from the contractual relationship arising from membership in a public retirement system. These benefits directly impacted the participants' eventual pension benefit…We determine that the ability to vote in the election of local pension board members and to have that local board control and invest local pension funds is not of the same nature and essentiality as the ability to participate in the fund, accumulate credited time, or receive health care, disability, and life insurance coverage. Voting for the local board is, at best, ancillary to a participant's receipt of the pension payment and other assets." *Id.*, ¶12, 14.

The Second District Appellate Court provided no legal authority to support its assertion that the right to vote for a local board was "at best, ancillary." It provided no logic to support its conclusion. More importantly, it ignored this Court's language in Williamson. In Williamson, this Court did not make any limitation to its Opinion that **contractual rights**, not merely monetary benefits, were subject to the protection of the pension protection clause. Rather, this Court expressly stated: "Although the Fund correctly recognizes that **many of our prior decisions involved statutory changes that made immediate and direct diminishments to public pension benefits**, we observe that **that is not the only category of unilateral legislative change prohibited by article**

XIII, section 5, of the Illinois Constitution." *Williamson Cty Bd. Of Comm'rs v. Bd. Of Trs. of the Ill. Mun. Ret. Fund*, 2020 IL 125330, ¶40 (emphasis added). "In other words, a public employee's membership in a pension system is an enforceable contractual relationship, and the employee has a constitutionally protected right to **the benefits of that contractual relationship**." *Williamson Cty Bd. Of Comm'rs v. Bd. Of Trs. of the Ill. Mun. Ret. Fund*, 2020 IL 125330, ¶32 (emphasis added). This Court specifically stated: "**The constitutional protection is broad because it protects all of the benefits that flow from the contractual relationship arising from membership in a public retirement system**." *Id.* (emphasis added) (citations omitted).

In this case, the trial court and the Second District Appellate Court erred in finding that the right to vote on a local board (and to have that local board control and invest local pension funds) was not a protected benefit simply because it did not "directly affect the value of a plaintiff's pension benefit."

Notably, this Court has previously rejected this interpretation, stating: "Defendants contend that the reach of article XIII, section 5, is confined to the retirement annuity payments authorized by the Pension Code, **but there is nothing in the text of the Constitution that warrants such a limitation.** Just as the legislature is presumed to act with full knowledge of all prior legislation, the drafters of a constitutional provision are presumed to know about existing laws and constitutional provisions and to have drafted their provision accordingly. **If they had intended to protect only core pension annuity benefits and to exclude the various other benefits state employees were and are entitled to receive as a result of membership in the State's pensions systems, the drafters could have so specified. But they did not.**" *Kanerva v. Weems*, 2014 IL 115811, ¶41 (emphasis added).

This Court has previously explained the need for a broad interpretation as to what constitutes a "benefit," noting: "The text of the provision proposed to and adopted by the voters of this State **did not limit its terms to annuities, or to benefits conferred directly by the Pension Code**, which would also include disability coverage and survivor benefits. **Rather, the drafters chose expansive language that goes beyond annuities and the terms of the Pension Code, defining the range of protected benefits broadly to encompass those attendant to membership in the State's retirement systems…** We may not rewrite the pension protection clause to include restrictions and limitations that the drafters did not express and the citizens of Illinois did not approve." *Kanerva v. Weems*, 2014 IL 115811, ¶41 (emphasis added); see also *Carmichael v. Laborers' & Retirement Board Employees' Annuity & Benefit Fund of Chicago*, 2018 IL 122793, ¶26 ("The benefits protected by the pension protection clause **include those benefits attendant to membership in the State's retirement system**, such as subsidized health care, disability and life insurance coverage, and eligibility to receive a retirement annuity and survivor benefits, along with the right to purchase optional service credit in the state pension system for past military service.") (emphasis added).

Indeed, as this Court previously stated: "Kanerva held that **the text of the pension clause places no limits on the kind of 'benefit' that is protected by the clause so long as the benefit is part of the contractual relationship "derived from membership" in the retirement system**." *Id.*, ¶29 (emphasis added). In its Opinion, the Second District Appellate Court has now placed a limit on the kind of benefit that is protected by the Pension Protection Clause, and that Opinion should be reviewed by this Court.

Here, it is undisputed that prior to the Act, Plaintiffs had the statutory right and benefit, derived from their membership in the retirement system, to vote and exercise control over their locally-managed boards and pension funds. It is likewise undisputed that the Act significantly impairs and dilutes Plaintiffs' voting rights and their rights to control the management of those funds. The trial court erred in finding that this right to control, direct, and/or manage funds locally was not one of the "**benefits that flow from the contractual relationship arising from membership in a public retirement system**."

The Second District's Opinion in this case conflicts with this Court's decisions which support a broad protection of all benefits flowing from the contractual relationship attendant to membership in a public retirement system. Accordingly, Plaintiffs respectfully requests this Court grant their Petition and review the Second District's decision in this case.

III. The Second District Erred in Finding that the Public Act Does Not Impair the Funds

The Second District erred in disregarding the fact that the local funds are required to pay for the transition costs (authorized by the Act to be in an amount up to $15,000,0000 plus interest), startup costs, administration costs, and operation costs by simply stating, "The local funds are already required to pay the costs of administration of the local funds, and plaintiffs do not cite any evidence to show that the costs of administration of the new funds, even including startup costs, would be any greater." *Arlington Heights Police Pension Fund v. Pritzker*, 2023 IL App (2d) 220198, ¶15. As a preliminary matter, the local funds are not required to incur any "transition costs" at present because, prior to Public Act 101-610, there was no transition occurring. Furthermore, prior to Public Act

101-610, the individuals had control over the costs of administering and operating the funds vis-à-vis their ability to vote and elect pension board members.

Prior to the Act, Plaintiffs enjoyed the benefit of having their funds be unencumbered by the liabilities posed by the new Pension Investment Funds. Under the Act, Plaintiffs' funds are subject to be used for the payment of the "costs and expenses incurred in the operation and administration of the [Pension Investment Funds]." 40 ILCS 5/22B-118; 40 ILCS 5/22C-118. Likewise, the Act specifically authorizes the Pension Investment Funds to borrow up to $15,000,000 from the Illinois Finance Authority, plus interest, with Plaintiffs' funds being liable for any and all amounts borrowed. 40 ILCS 5/22B-120(h); 40 ILCS 5/22C-120(h). The liabilities and encumbrances are newly-created and did not exist prior to the Act. Accordingly, Plaintiffs respectfully request this Court grant this Petition and review the Second District's finding that Public Act 101-610 does not impair Plaintiffs' benefits by placing liabilities and encumbrances upon them that did not exist prior to the Act.

IV. The Second District's Opinion that Pensions are not Property Owned by the Individuals Conflicts with Existing Law

Additionally, this Court should grant this Petition and review the Second District's decision because the finding that the pension funds are not "private property" and further, the Second District's statement that "**Plaintiffs do not own the funds**" is contrary to established law and creates a conflict amongst the appellate districts. See, e.g., *In re Marriage of Richardson*, 381 Ill.App.3d 47 (1st Dist. 2008) ("**Pension benefits are property interests.**") (emphasis added); see also *In re Marriage of Papeck*, 95 Ill.App.3d 624 (1st Dist. 1981) ("**Under Illinois law, pension benefits are property interests rather than mere 'expectancies,' regardless of whether they are matured, vested, or non-vested, contributory or non-contributory**. Thus, even if pension benefits are

contingent upon future events and may never become payable, they are **not** reduced to mere "expectancies." **The significance of this judicial recognition that pension interests are "property" is this: The spouse of the plan participant, upon dissolution of the marriage, obtains an actual co-ownership interest in the benefits as marital property.** Thus a divorced wife is not in the position of a mere "creditor," and the anti-attachment provision of the Firemen's Act does not bar her claim to a certain proportion of the benefits.") (emphasis added); see also *In re Marriage of Menken*, 334 Ill.App.3d 531 (2d Dist. 2002) ("It is well settled that pension benefits earned during the marriage are considered marital property and, upon dissolution, are subject to division like any other property.")

Likewise, the legislature has recognized that public pensions are a private property interest subject to division following a dissolution and has enacted statutes providing for the payment of public pensions to individuals other than the original payee to effectuate the same. See *In re Marriage of Menken*, 334 Ill.App.3d 531 (2d Dist. 2002) ("Before July 1, 1999, which was the effective date of section 1–119, no statute in Illinois authorized a domestic relations court to order the payment of a governmental pension benefit to a person other than the regular payee. However, section 1–119 now provides for QILDROs…"); see also 40 ILCS 5/1-119 ("(b)(1) An Illinois court of competent jurisdiction in a proceeding for declaration of invalidity of marriage, legal separation, or dissolution of marriage that provides for support or the distribution of property, or any proceeding to amend or enforce such support or property distribution, may order that all or any part of any (i) member's retirement benefit, (ii) member's refund payable to or on behalf of the member, or (iii) death benefit, or portion thereof, that would otherwise be

payable to the member's death benefit beneficiaries or estate be instead paid by the retirement system to the alternate payee.")

The Second District's decision finding that pension funds are not "property" and are not "owned" by the individuals is problematic for a number of reasons and conflicts with numerous areas of case law. This Court should grant this Petition and review the Second District's decision so as to promote a comprehensive and cohesive finding that pension funds are "owned" by the individuals and are "property," not merely "expectancies."

CONCLUSION

WHEREFORE, for the foregoing reasons, Plaintiffs-Petitioners, ARLINGTON HEIGHTS PPF; AURORA PPF, CHAMPAIGN PPF, CHICAGO HEIGHTS PPF, CHICAGO RIDGE PPF, DeKALB PPF, ELGIN PPF, ELMHURST PPF, EVANSTON PPF, MOKENA PPF, PALOS HEIGHTS PPF, RANTOUL PPF, VILLA PARK PPF, WOOD DALE PPF, WOODRIDGE PPF, MAYWOOD FFPF, PLEASANTVIEW FFPF, THOMAS HENDERSON, SCOTT MAY, LAWRENCE SUTTLE, DANIEL HOFFMAN, GENE KEELER, STEVEN ANKARLO, PATRICK SIMONS, PATRICK KELLY, LEE MORRIS, DEAN MANN, PAUL MOTT, JIM KAYES, JAMES ROSCHER, THOMAS QUIGLEY, VICTOR VALDEZ, THOMAS TUREK, WILLIAM CZAJKOWSKI, DAVID DELANEY, RICHARD WEIKAL, DAVID FLOWERS, SR., ROBERT MILLER, DAN RANKOVICH, AARON WERNICK, TIMOTHY SCHOOLMASTER DAVE LOEHAM, MIKE HERBERT, MATTHEW BROSS, MICHAEL TITTLE, SCOTT SHROEDER, BENJAMIN DEFILIPPIS, JORDAN ANDERSON, DENNIS KOLETSOS, WILLIAM BODNER, and FRED MALAYTER,

respectfully request that this Honorable Court GRANT this Petition for Leave to Appeal, and award Plaintiffs all such other relief as this Court deems just and fair.

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CERTIFICATE OF COMPLIANCE

I certify that this brief conforms to the requirements of Rules 341(a) and (b). The length of this brief, excluding the pages or words contained in the Rule 341(d) cover, the Rule 341(h)(1) table of contents and statement of points and authorities, the Rule 341(c) certificate of compliance, the certificate of service, and those matters to be appended to the brief under Rule 342(a), is five thousand eight hundred fifty-one (5851) words.

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CERTIFICATE OF SERVICE

I, the undersigned attorney for Plaintiffs-Petitioners, after being first duly sworn on oath, depose and certify that a copy of the foregoing Notice and Petition were served on the attorneys of record via Microsoft Outlook e-mail transmission as set forth on the attached Service List, on March 14, 2023.

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